98-1811

Supreme Court, U.S.
FILED
JUL 16 1999
OFFICE OF THE CLERK

No. 98-9811

IN THE

Supreme Court of the United States

Alexis Geier, *et al.*,

Petitioners,

v.

American Honda Motor Company, Inc., *et al.*,

Respondents.

On Petition for a Writ of Certiorari to the United States Court of Appeals for the District of Columbia Circuit

PETITIONERS' REPLY TO BRIEF IN OPPOSITION

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ARGUMENT

Our petition gave three reasons why this Court should grant review. First, the federal courts of appeals and state courts of last resort are hopelessly in conflict over whether federal law preempts a claim that a car is defective because it lacks an airbag. Second, this conflict is partly attributable to this Court's decision in *Freightliner Corp. v. Myrick*, 514 U.S. 280 (1995), which created massive confusion over whether it is appropriate to consider implied conflict preemption where Congress' plain language expressly preserves common law claims. Third, whether the Safety Act preempts common law claims is an important question of federal law warranting this Court's review.

In response, Honda argues that review should be denied because: (1) there is no serious conflict among the lower courts; (2) this Court has recently denied review in other Safety Act cases; (3) this case involves only the question of implied preemption; (4) the issue is not important because airbags are now required in all vehicles; and (5) the decision below is correct. None of these arguments withstands scrutiny.

1. As explained in our petition at 7-13, there is in fact a deep split among the lower courts on the precise question presented in this case: whether a manufacturer may be sued for failing to install airbags in one of its vehicles. Honda attempts to minimize this conflict by arguing that only a "small number of state courts" have held that no-airbag claims are preempted by federal law. Opp. at 15-16. This is an understatement of the first order given that, in the last five years, *five* state courts of last resort have decided the question in a manner directly contrary to all five federal courts of appeals to consider the issue. Pet. at 7-9.

Honda does not attempt to argue that these state court decisions are not truly in conflict with the federal rulings.

Instead, it pretends that a state/federal split of this magnitude is insignificant given the unanimity of the federal courts of appeals. This, of course, is not the law. *See* Supreme Court Rule 10(a); Stern, *Supreme Court Practice 7th Edition*, § 4.9, at 181 (1993). In fact, this Court has often granted review in preemption cases based on a conflict between federal courts of appeals and state courts of last resort. *See, e.g., Cipollone v. Liggett Group, Inc.*, 505 U.S. 504, 508-09 nn.2 & 3 (1992) (citing split between five federal courts of appeals and two highest state courts as basis for granting review of cigarette labeling preemption decision); *Lewis v. Brunswick*, 107 F.3d 1494 (11th Cir. 1997), *cert. granted*, 118 S. Ct. 439 (1998) (granting review of boat safety preemption decision based on split between two federal courts of appeals and one highest state court). Thus, Honda's argument that there is insufficient conflict below to warrant review here – where there is a much deeper split than gave rise to either *Cipollone* or *Lewis* – is simply unavailing.[1]

Honda's related argument that the conflict below does not warrant review because "[n]one of the[ ] state courts have yet rendered a final decision that would properly invoke this Court's jurisdiction under *Jefferson v. City of Tarrant*, 522 U.S. 75 (1997)" (Opp. at 16) is equally meritless. *Jefferson* held that this Court lacks authority under 28 U.S.C. § 1257(a) to review a non-final, interlocutory decision rendered by a state court of last resort. *See* 522 U.S. at 81. Even if this doctrine would

[1] Honda also attempts to portray the five state high-court decisions as insignificant, in part, by citing a string of lower court federal and state cases that have found preemption of no-airbag claims. But there are scores of lower federal and state court cases that reached the opposite conclusion, too. *See generally Cellucci v. General Motors Corp*, 706 A.2d 806, 812 n.4 (Pa. 1998) (collecting cases); *Cooper v. General Motors Corp.*, 702 So.2d 428, 433-34 (Miss. 1997) (same).

have prevented review of the five state high-court decisions finding no preemption, this Court clearly has jurisdiction under 28 U.S.C. § 1254(1) to review the decision below rendered by a federal court of appeals. *See generally* Stern, *Supreme Court Practice 7th Edition*, § 2.2, at 40 (1993). Indeed, this Court has regularly reviewed decisions of *federal* courts of appeals in the tort preemption context absent the finality required for state court decisions required under Section 1257(a). *E.g., Medtronic, Inc. v. Lohr*, 518 U.S. 470, 482-84 (1996) (medical device preemption case reviewed on defendant's petition for *certiorari* prior to trial on remand). Thus, there is no question that the Court possesses jurisdiction to review this case (and Honda does not contend otherwise).

Honda's finality argument also fails because, even if the state decisions were not final for purposes of this Court's review at the time they were rendered, they are (and will remain) the law of the land in those jurisdictions absent an intervening decision from this Court. Not only does this create a liability patchwork among the state and federal courts but, in cases where a state court of last resort has disagreed with the federal court of appeals in its geographic area, the preemption question in that state hinges solely on whether a case is filed in state or federal court. *Compare, e.g., Wood v. General Motors Corp.*, 865 F.2d 395 (1st Cir. 1988), *cert. denied*, 494 U.S. 1065 (1990) (holding implied preemption of no-airbag claims) *with Tebbetts v. Ford Motor Co*, 665 A.2d 345 (N.H. 1995), *cert. denied*, 516 U.S. 1072 (1996) (holding no express or implied preemption of same). This perverse result can only be remedied by review by this Court.

2. Honda also makes much of the fact that this Court denied review in two recent cases involving preemption under the Safety Act. *See* Opp. at 16 (citing *Irving v. Mazda Motor Corp.*, 136 F.3d 764 (11th Cir. 1998), *cert. denied*, 119 S. Ct.

544 (1998), *and Gracia v. Volvo Europe Truck, N.V.*, 112 F.3d 291, 297 (7th Cir. 1997), *cert. denied*, 118 S. Ct. 697 (1998)). This argument, too, misses the mark.

First, Honda ignores that this Court *did* grant review in a recent Safety Act case – *Freightliner Corp. v. Myrick*, 514 U.S. 280 (1995) – that, by all appearances, seemed to present exactly the same question as this case: whether the Safety Act preempts common law no-airbag claims. *See* Pet. at 11-17 & nn.7, 13. This Court ultimately decided the case on other grounds, leaving the preemption question for another day. 514 U.S. at 287. Thus, as of 1995, this Court viewed the preemption question presented here as sufficiently important to warrant review.

This Court's denial of *certiorari* in two recent Safety Act cases does not signal a retreat from the decision to grant review in *Myrick*. First, *Gracia* was not even a no-airbag case; rather, it involved a defective windshield claim. *See* 112 F.3d at 293. Tellingly, the Seventh Circuit's decision did not even mention (much less analyze or rely upon) any of the myriad federal or state decisions regarding airbag preemption. Equally important, *Gracia* is aberrational insofar as it holds that the Safety Act *expressly* preempts common law claims. *See id.* at 298. (As explained in the petition at 9-10 & n.5, all but one of the federal courts of appeals to decide the question have concluded that no-airbag claims are impliedly – but not expressly – preempted by Standard 208.) Because *Gracia* was decided on express preemption grounds, the Seventh Circuit never addressed whether a court may properly consider implied conflict preemption in the face of a statute – like the Safety Act – that appears expressly to *preserve* common law claims. Yet that precise question is the core of the split between the federal and state courts in the airbag preemption cases. *See* Pet. at 10-11. Thus, *Gracia* did not even come close to presenting the

question presented here, rendering this Court's denial of *certiorari* in that case wholly irrelevant.

Irving was a similarly unsuitable vehicle for review. First, like *Gracia*, that case did not squarely present a claim that a vehicle was defective because it lacked an airbag; rather, the plaintiff's claim was that his vehicle was defectively designed because the manufacturer failed adequately to warn of the risk of not using all components of the safety belt system. *See* 136 F.3d at 767. *Irving* was also beset with procedural irregularities, including extensive uncertainty over whether certain claims had been preserved for review. *See id.* at 768-69. Thus, it is not surprising that this Court declined to select *Gracia* or *Irving* to resolve the question first presented – but ultimately left unanswered – by *Myrick*.[2]

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[2] Since *Myrick*, this Court has denied review in four other Safety Act cases – *Tebbetts*, 665 A.2d at 345; *Montag v. Honda Motor Co.*, 75 F.3d 1414 (10th Cir.), *cert. denied*, 519 U.S. 814 (1996); *Zimmerman v. Volkswagen of America, Inc.*, 920 P.2d 67 (Idaho 1996), *cert. denied*, 520 U.S. 1115 (1997); and *Schlotz v. Hyundai Motor Co.*, 557 N.W.2d 613 (Minn. Ct. App.), *cert. denied*, 522 U.S. 823 (1997). In *Tebbetts*, the respondent successfully opposed review on the ground that the New Hampshire Supreme Court's decision finding no preemption was the first ruling by a state court of last resort or a federal appeals court on the preemptive effect of the Safety Act since this Court clarified the limits on implied preemption in *Cipollone* and *Freightliner* – and that there was, therefore, no post-*Cipollone* conflict. Brief in Opposition at ii, *Tebbetts*, No. 95-709 (October Term, 1995). In *Montag*, the Tenth Circuit created such a conflict by finding preemption, but Ford successfully argued that review should be denied because the case was decided on alternative grounds and did not squarely present the preemption issue. Respondents' Brief in Opposition at v, *Montag* (No. 95-1885). In *Zimmerman* and *Schlotz*, the auto manufacturers successfully opposed review on the ground that the cases involved lap belts rather than airbags and, in *Schlotz*, that there was an independent and adequate state ground for the decision. Respondents' Brief in Opposition at 10-14, *Zimmerman* (No. 96-904); Respondents' Brief in Opposition at 1-2, *Schlotz* (No. 96-2032). Thus, none

3. Honda's third argument is that review should be denied because "the entire preemption question is not before the Court." Opp. at 17. In reality, as Honda knows, both express and implied preemption were squarely presented to the courts below. The district court held that petitioners' claims were expressly preempted by the Safety Act. *See* App. 19-20. On appeal, petitioners argued that their claims were neither expressly nor impliedly preempted. The D.C. Circuit considered and addressed the express preemption question at some length, *see id.* at 8-12, acknowledging that the Safety Act's "broadly worded savings clause . . . indicates that Congress did not wish to deprive plaintiffs of all their remedies at common law." App. 11. Although the Court ultimately declined to resolve the express preemption question, *id.* at 12, ruling instead that petitioners' claims are impliedly preempted by Standard 208, *id.* at 14-16, there is no question that both issues were presented below and preserved for review by this Court.

Similarly, both express and implied preemption were encompassed within the petition and, therefore, properly presented to this Court. Supreme Court Rule 14.1(a) provides that "[o]nly the questions set out in the petition, or fairly included therein, will be considered by the Court." The first question presented, by its terms, raises the entire issue of preemption; it does not separately mention, much less distinguish between, express and implied preemption. Moreover, the petition discusses both express and implied preemption at length – in reviewing the conflict among the lower courts, the confusion caused by *Myrick*, and the importance of the federal question presented. The petition even explains how the Safety Act's plain language and legislative

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of these cases was a suitable vehicle for answering the question presented here: *i.e.*, whether no-airbag claims are preempted by federal law.

history illustrate Congress' intent expressly to *preserve* common law claims, thereby barring any resort to implied preemption analysis. *See, e.g.*, Pet. at 23-24. Finally, the petition argues that, given the similarity between the Safety Act's express preemption provisions and those of various other statutes, "[t]his case . . . presents the opportunity to resolve the broader question presented in all of these cases: whether a plainly worded savings clause appearing expressly to preserve common law claims may be disregarded to find preemption by virtue of a manufacturer's compliance with minimum federal safety standards." *Id.* at 26.

Well aware of these facts, Honda vigorously argues in its opposition that petitioners' claims are both expressly and impliedly preempted. *See* Opp. at 24-28 (express), 19-24 (implied). The entire question of preemption is, therefore, plainly before this Court.

In fact, this case is particularly appropriate for review given that the D.C. Circuit's refusal to decide the issue of express preemption is actually at the core of the conflict below. As explained in the petition at 10-11, the federal courts of appeals and five state courts of last resort fundamentally disagree on whether it is *ever* appropriate to reach the issue of implied conflict preemption in the face of statutory language appearing expressly to preserve common law claims. In the state courts' view, a court is barred from even considering implied conflict preemption without first deciding whether the statutory language expressly preempts (or saves) common law claims. The federal courts, in contrast, reject this approach, holding that implied conflict preemption may exist even in the face of clear statutory language expressly preserving common law claims. Following this approach, the D.C. Circuit declined to resolve the issue of express preemption, finding implied conflict preemption instead.

At bottom, then, a central issue in this case is whether the lower court erred in refusing to decide the express conflict preemption issue. Honda's attempt to twist this refusal into a reason to *deny* review is unavailing and should be rejected.

4. Honda also argues that review should be denied because "[a]ll cars manufactured after September 1, 1997 are required to have airbags" (Opp. at 18) and thus the issue will eventually disappear. This argument is belied by Honda's previous statements and is factually inaccurate.

First, Honda's claim of "diminishing importance" is flatly contrary to its *amicus* brief filed in support of the petition for *certiorari* in *Ford Motor Company v. Tebbetts*, No. 95-709 (October Term, 1995). *See* Pet. at 21-22. In that brief, Honda and its fellow auto manufacturers asked this Court to review the New Hampshire Supreme Court's decision on the ground that federal preemption of no-airbag claims "is an issue of exceptional importance affecting national automobile safety . . .." *Id.* The auto manufacturers added that there are "*literally millions of automobiles on the road today that are not equipped with airbags*," and that "[l]itigation over the preemptive effects of [Standard] 208 has proceeded for a decade, *with no end in sight*. . . . Only this Court can put an end to this controversy." *Id.* (emphases added). In light of these representations made only a few years ago in a case involving the identical question presented here, it is disingenuous at best for Honda to claim now that review is unwarranted and that "[p]etitioners greatly exaggerate the number of future no-airbag claims." *Id.* at 18.

Honda's argument is also wrong on the facts. As Honda admits, federal law only required airbags as of September 1, 1997. Cars, of course, often stay on the road for years and years. In fact, the automobile at issue in this case was manufactured over *12 years ago*, yet petitioners are only now

presenting their arguments to this Court. Thus, at a minimum, no-airbag claims will continue to be litigated for at least another decade – and probably much longer. Unless this Court intervenes, the chaos among the lower courts will continue and spread, with victims' right to seek compensation depending solely on whether they happen to reside in a no-preemption jurisdiction.

Finally, this case has ramifications far beyond the airbag context. Not only is preemption an open question with respect to other types of cases arising under the Safety Act, *e.g.*, *Gracia*, 112 F.3d 291 (windshields); *Irving*, 136 F.3d 764 (manual lap belts), but the Safety Act's express preemption provision and savings clause are strikingly similar to the language of many other statutes. *See* Pet. at 25. Thus, a decision in this case could affect preemption analysis in a broad range of cases far beyond the no-airbag context. Honda's attempt to minimize the importance of this case is accordingly without merit.[3]

5. Honda's last argument – that the lower court's implied preemption decision is right – is not a reason for denying review. To the contrary, it starkly underscores the need for this Court to step in and resolve both the dispute and the massive conflict among the lower courts. Moreover, as explained above, five state courts of last resort have held that, in view of the Safety Act's remarkably clear savings clause, it

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[3] Honda also argues that the decision below is "unsuitable for review" because petitioners' car was manufactured during the phase-in period (1987-89) when manufacturers had to install passive protection systems in only a percentage of their new cars. Opp. at 19 n.6. This argument is meritless, since Standard 208's options framework was in effect during the phase-in period and no court – including the court below – has ever held that the preemption analysis is any different with respect to cars manufactured during that time.

is both unnecessary and improper to even reach the question of implied preemption in the context of no-airbag claims. If Honda is right, and these decisions fundamentally misconstrue this Court's jurisprudence in *Cipollone* and *Myrick*, then surely the appropriate response is to grant review to resolve the conflict – not to sweep the split under the carpet.

CONCLUSION

The petition for writ of *certiorari* should be granted.

Respectfully submitted,

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Date: July 16, 1999